

FarmsKing — Complete GST & Billing Architecture

Document Date: September 30, 2026 | **Platform:** FarmsKing Agriculture Marketplace

Regulatory Position: FarmsKing operates as an **Electronic Commerce Operator (ECO)** under **Section 52 of the CGST Act, 2017**.

1. Invoice Numbering Architecture (GST Rule 46 Compliance)

As per GST Rule 46, invoice serial numbers must be consecutive, maximum 16 characters, unique per financial year, resetting on April 1st.

Invoice Type	Code Format	Example	Description
Customer Sales Invoice	FK-INV-{FY}-{SeqNo}	FK-INV-2627-000001	Issued to Buyer on behalf of Seller with Seller's GSTIN.
Platform Commission Invoice	FK-COM-{FY}-{SeqNo}	FK-COM-2627-000001	Issued by FarmsKing to Seller for Platform Fee + 18% GST.
Seller Payout Voucher	FK-PAY-{FY}-{SeqNo}	FK-PAY-2627-000001	Payout settlement voucher detailing net earnings transfer.

2. Seller's Own Invoice Serial Number Handling

Under GST Rule 46, taxpayers are permitted to maintain **Multiple Invoice Series** for different sales channels:

- **Option A (Standard Marketplace Series - Recommended):** Sellers maintain OFF-2627-0001 for offline shop sales and FK-S101-2627-000001 for FarmsKing online sales. This avoids invoice number collision between physical store and online sales.
- **Option B (Custom Seller Prefix):** Sellers can configure their own custom invoice prefix in the FarmsKing Seller Dashboard (e.g., GUPTA-2627-) and FarmsKing auto-increments using that series.

3. End-to-End Money & Transaction Flow (Step 1 to Step 6)

Step 1: Order Placement & Escrow Payment

Customer orders on FarmsKing App (e.g. ₹10,000 product inclusive of GST). Customer pays ₹10,000 via online payment gateway into FarmsKing's Escrow/Nodal Bank Account.

Step 2: Order Delivery & Document Generation

Seller ships item. Upon delivery, FarmsKing automatically generates Customer Invoice, Commission Invoice, and Payout Voucher.

Step 3: 7-Day Return Lock Period

Funds remain held in FarmsKing Escrow during the 7-day customer return/exchange window.

Step 4: Automated Split Settlement & Payout

FarmsKing retains Platform Commission + 18% GST on commission + 1% TCS. The net payout is transferred directly to the seller's bank account/wallet via Auto-Payout API.

Step 5: Monthly Government Return Filing

FarmsKing files monthly GSTR-8 return by 10th of every month to deposit 1% TCS with the Govt. FarmsKing files GSTR-3B by 20th to deposit GST collected on commission.

Step 6: Seller Accounting & Tax Credit Claim

Seller files GSTR-1 & GSTR-3B. Seller claims ₹100 TCS credit (in Electronic Cash Ledger) and 18% Input Tax Credit (ITC) on FarmsKing's commission invoice.

4. Detailed Transaction Calculation Models

Model A: Exclusive of GST (Base Price ₹10,000 + 5% GST = ₹10,500)

- **Customer Pays:** ₹10,500
- **Net Taxable Base Price:** ₹10,000
- **Product GST (5%):** ₹500
- **TCS (1% of ₹10,000 Base):** ₹100
- **Platform Commission (5% of ₹10,000 Base):** ₹500
- **GST on Commission (18% of ₹500):** ₹90
- **Total Deductions:** ₹100 + ₹500 + ₹90 = ₹690
- **Net Seller Payout:** ₹10,500 - ₹690 = **₹9,810**

Model B: Inclusive of GST (Total Price ₹10,000 including 5% GST)

- **Customer Pays:** ₹10,000
- **Base Price (₹10,000 / 1.05):** ₹9,523.81
- **Product GST (5%):** ₹476.19
- **TCS (1% of ₹9,523.81 Base):** ₹95.24
- **Platform Commission (5% of ₹9,523.81 Base):** ₹476.19
- **GST on Commission (18% of ₹476.19):** ₹85.71
- **Total Deductions:** ₹657.14
- **Net Seller Payout:** ₹10,000 - ₹657.14 = **₹9,342.86**

Model C: Farmers Selling Raw Produce (Exempt under GST Notification 2/2017)

- Raw agricultural produce (wheat, paddy, fresh vegetables) is 0% GST exempt.
- Unregistered farmers have **0% TCS**. FarmsKing only charges platform commission + 18% GST on commission.

5. Key Takeaways & Additional Technical Details

- **Commission Rule:** FarmsKing charges commission *only on the net base item price*, NEVER on the government tax portion.

- **TCS Benefit to Seller:** The 1% TCS deposited by FarmsKing is not a loss to the seller; it is deposited into their Govt GST Cash Ledger to pay their monthly tax.
- **Input Tax Credit (ITC):** The 18% GST charged on FarmsKing commission can be claimed back by GST-registered sellers as ITC.
- **Credit Notes:** In case of product returns, FarmsKing automatically issues Credit Notes (FK-CDN-2627-000001) and reverses TCS/Commission accordingly.